Stanmore Resources Limited

(SMR.AX)

Investment Thesis

Current Price: $2.57

Market Cap: $2.3B

Sector: Basic Materials

Industry: Coking Coal

Date: February 26, 2026

1. Business Description

Stanmore Resources Limited engages in the exploration, development, production, and sale of metallurgical coal in Australia. It holds a portfolio of 2,000 square kilometers of prospective and granted exploration tenements throughout the Bowen and Surat basins. The company was formerly known as Stanmore Coal Limited and changed its name to Stanmore Resources Limited in May 2021. The company was incorporated in 2008 and is based in Brisbane, Australia. Stanmore Resources Limited operates as a subsidiary of Golden Investments (Australia) Pte. Ltd.

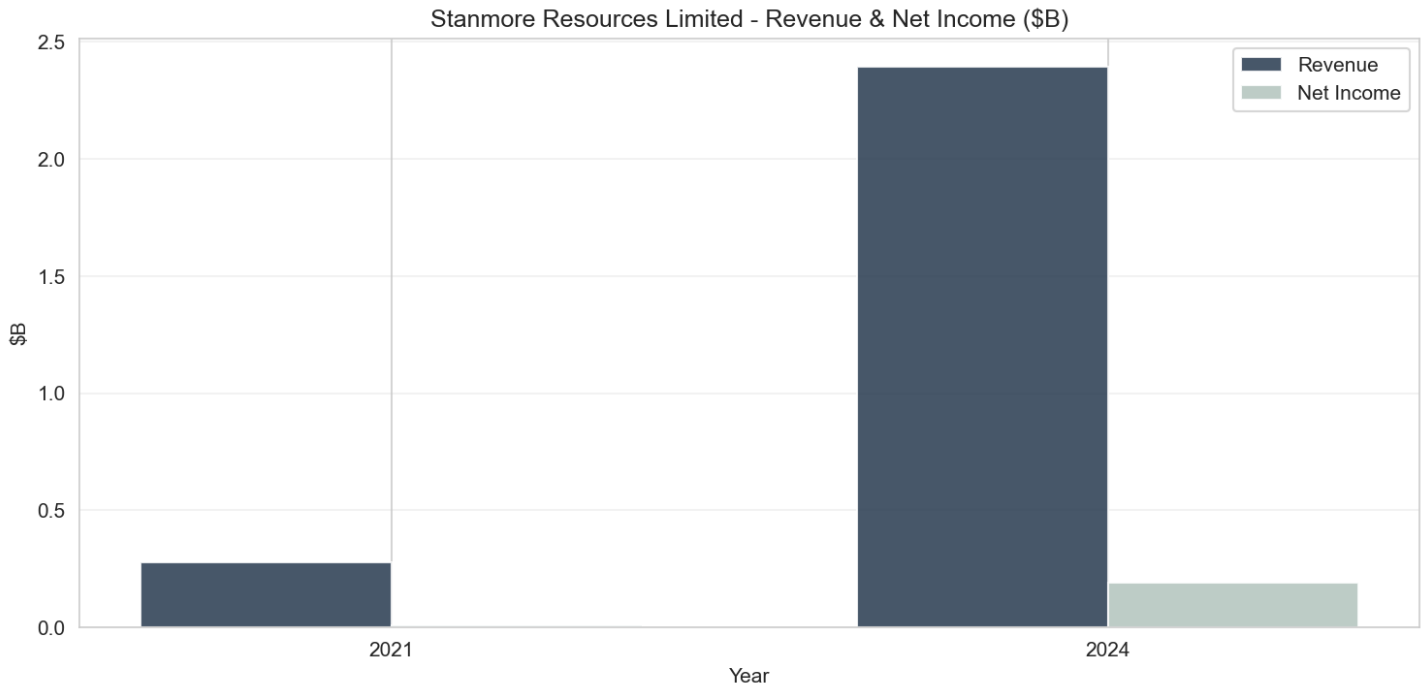
Key Metrics

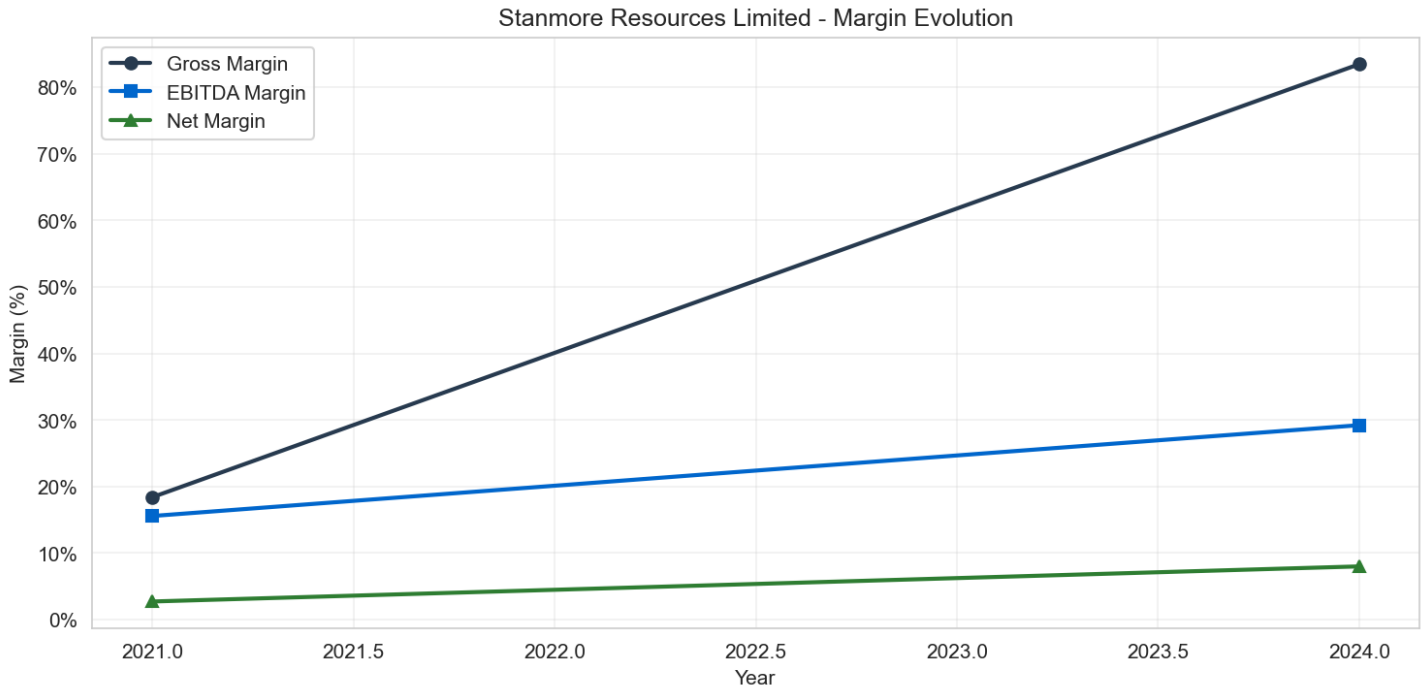
Market Cap	$2.3B	Enterprise Value	$2.6B
P/E Ratio (TTM)	N/A	Forward P/E	19.0x
EV/EBITDA	12.8x	Revenue Growth	-13.2%
Gross Margin	83.2%	Operating Margin	3.8%
Net Margin	-2.5%	Beta	-0.14
Dividend Yield	4.92%	52W High	$3.12
52W Low	$1.58		

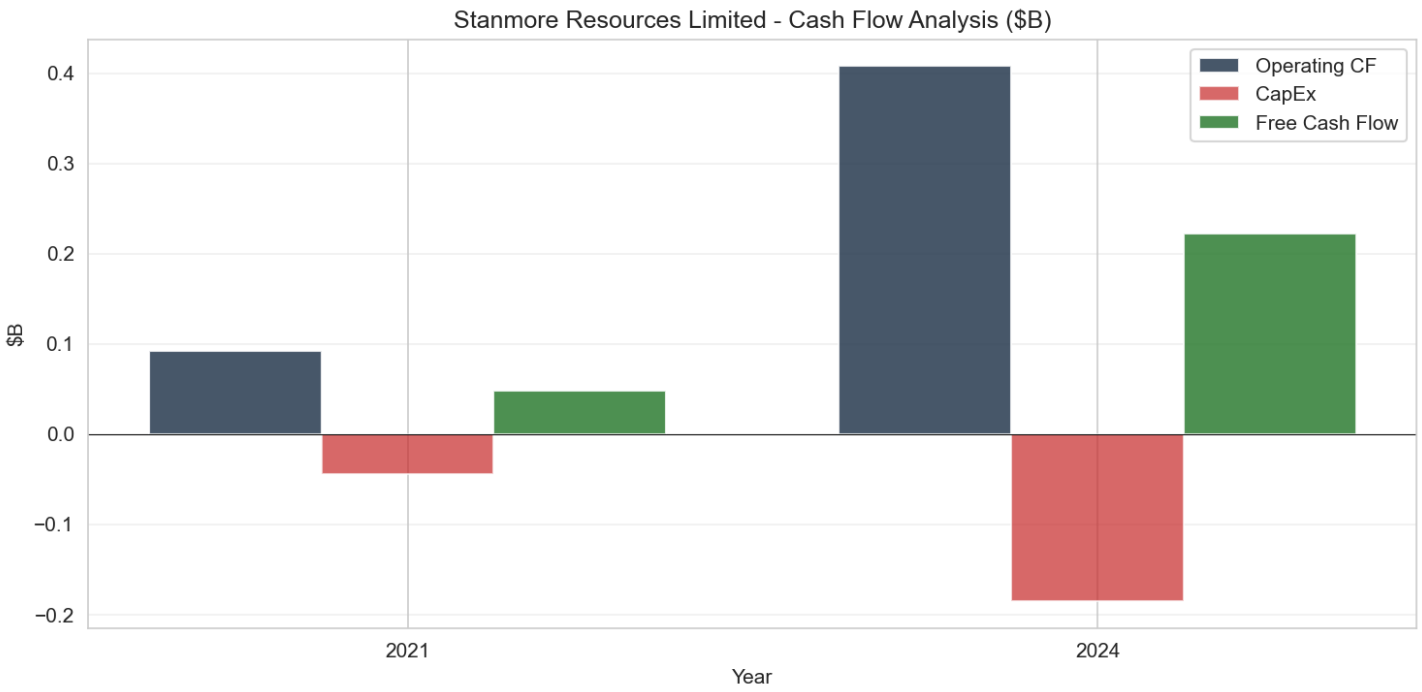
2. Financial Summary (Last 3 Years)

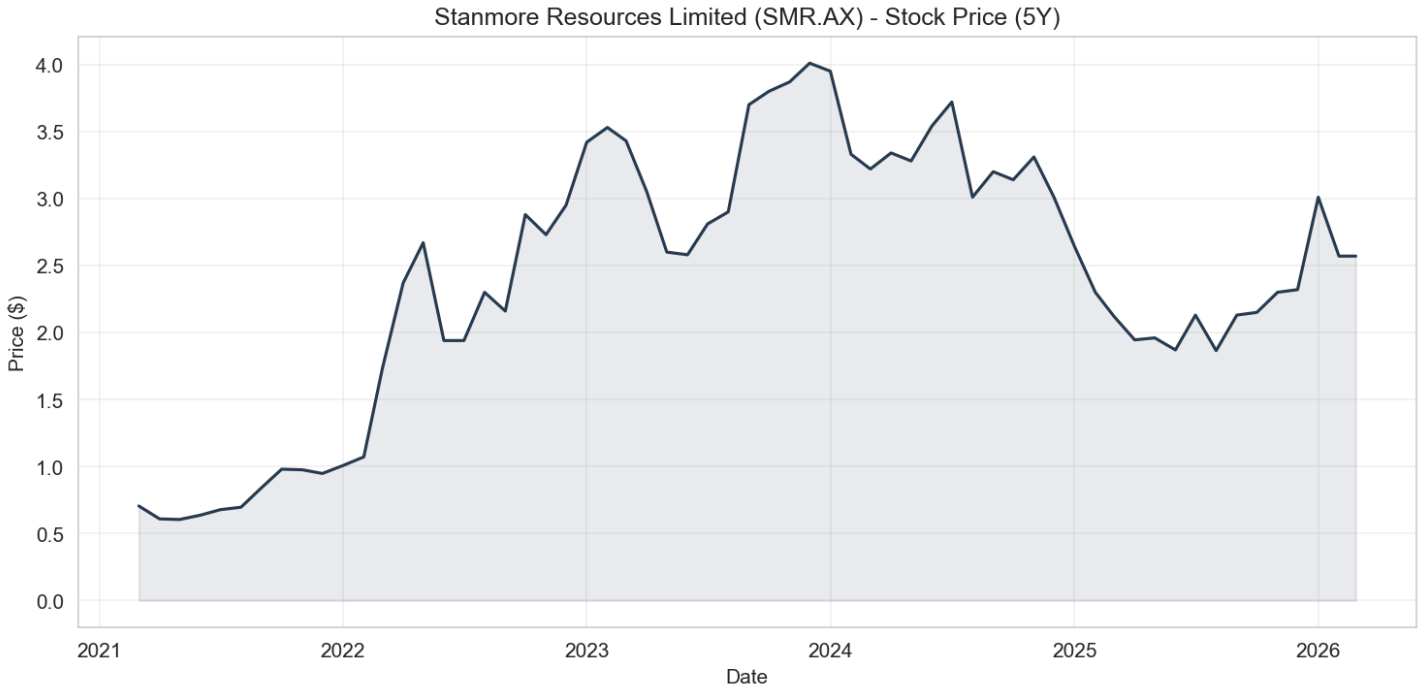
Metric ($M)	FY2021	FY2024
Revenue	278	2,396
Gross Profit	51	1,999
Operating Income	1	590
Net Income	8	192
EBITDA	43	700
Free Cash Flow	48	222
Total Assets	325	3,202
Total Debt	76	672
Total Equity	118	1,830

3. Financial Charts






Stanmore Resources Limited - Cash Flow Analysis ($B)
Operating CF
CapEx
Free Cash Flow
$B
0.4
0.3
0.2
0.1
0.0
−0.1
−0.2
2021
2024
Year


Stanmore Resources Limited (SMR.AX) - Stock Price (5Y)
Price ($)
4.0
3.5
3.0
2.5
2.0
1.5
1.0
0.5
0.0
2021
2022
2023
2024
2025
2026
Date

4. Positive Catalysts

- High gross margin of 83.2% demonstrates strong pricing power and competitive moat.
- Strong free cash flow generation of $0.2B provides flexibility for buybacks, dividends, or M&A.
- Analyst consensus price target implies 24% upside from current levels.

5. Key Risks

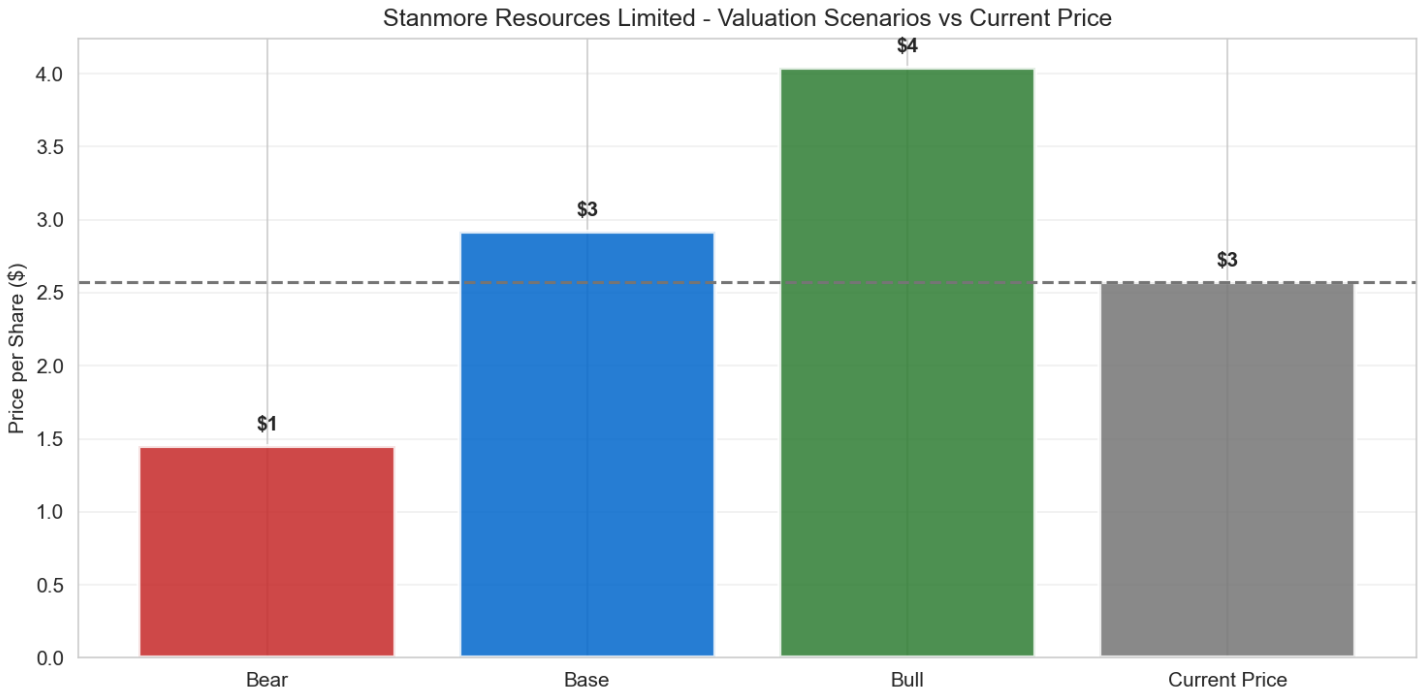
- Declining revenue (-13.2% growth) signals potential market share loss or industry headwinds.
- Macroeconomic risks including recession, inflation, and interest rate changes could impact performance.
- Competitive pressures in the Coking Coal space may erode margins or market share.

6. Valuation Summary (DCF)

Current Price: $2.57

Scenario	Rev Growth Y1	WACC	TV Multiple	Gross Margin
Bear Case	-17.2%	7.0%	5x	48.9%
Base Case	-13.2%	5.0%	7x	50.9%
Bull Case	-9.2%	4.0%	9x	52.9%

Note: Detailed DCF calculations are available in the accompanying Excel model. The Excel model includes a sensitivity analysis table showing equity value per share across different WACC and Terminal Value Multiple assumptions.



7. Recent News

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